STABLECON Artemis

Q3 REPORT | 2026

The State of Stables

STATE OF STABLES

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STABLECON

Stablecon is the #1 conference and media platform on stablecoins. Stablecon connects fintech, crypto, and financial services leaders to redefine the global movement of money. We serve as a springboard for the next era of payments and finance, driving the adoption of stablecoin infrastructure to build a more efficient and integrated global economy.

Artemis

Artemis is building the open data platform for digital finance, providing institutional-grade tools to standardize metrics for blockchains and stablecoins. Artemis empowers leading fintechs, payment processors and investment funds with the data necessary to realize the promise of an open financial system.

QUARTERLY ZEITGEIST

LATAM stablecoins have entered the implementation phase

by Chuk Okpalugo

2025, the LATAM stablecoin story was largely about retail adoption. Dollar stablecoins had become the region's main transactional crypto asset, used for savings, remittances and exchange access. USDT and USDC represented more than 90% of the exchange-related onchain volume.

Retail adoption has continued, but the more important shift is into B2B and enterprise use. If 2025 was about explaining stablecoins, 2026 is about implementing them. Over the past year, businesses and financial institutions have integrated stablecoins into supplier payments, treasury, payroll and regulated settlement. The question has shifted from why stablecoins matter to how they fit compliantly into existing operations.

B2B payments and treasury are becoming the center of gravity

For businesses, settlement speed can matter more than transaction fees. Cross-border payments can take several days, requiring businesses and payment providers to prefund accounts while carrying FX and settlement risk. Moving the wholesale leg through stablecoins releases working capital, allowing payment companies to operate more efficiently and offer more competitive pricing to their business customers. Widely adopted real-time payment systems such as Pix and SPEI make this model possible. Customer collections can happen instantly, 24/7, in local currency; stablecoins move value between institutions; and another domestic rail completes the payout. Stablecoins improve the cross-border leg, while regulated liquidity and local payout coverage remain essential.

Dollar access is the other critical component. Regulatory progress and a growing number of fintech-friendly banks with direct access to US payment rails are widening that access. This is particularly important in LATAM, where USD is both the preferred settlement currency for many regional businesses and the main liquidity bridge for payments to suppliers in Asia. As stablecoins become embedded in payment operations, regulatory access becomes part of the product.

Regulation is becoming market structure

LATAM is still in the early innings of stablecoin regulation, but policy is beginning to reshape the market. Brazil is the first clear example of how comprehensive rules can change the competitive landscape. In 2026, formal licensing for stablecoin and crypto providers took effect, including rules governing cross-border payments.

Existing providers have until October to apply and can continue operating during the transition, while new entrants must secure approval before launching. Meeting the capital, audit, liquidity, monitoring and reporting requirements is expensive. Overseas and smaller providers may choose to partner with a licensed operator instead of building their own regulated stack. This makes regulatory standing itself a moat.

Other markets remain at an earlier stage. Mexico lacks an enacted, purpose-built stablecoin framework, so regulatory access is less scarce. Colombia is tightening AML and tax reporting and may eventually move toward comprehensive licensing, but that direction is not yet settled.

Brazil shows how quickly a market can begin to consolidate around licensed operators once rules become binding. If other markets follow, licenses, banking relationships, FX access and compliance capacity will become harder to assemble after the frameworks take shape.

Dollars dominate as BRL stablecoins split into retail and institutional markets

The shift into financial infrastructure has not changed the region's underlying currency preference. Dollar stablecoins remain the foundation of the regional market. USDT continues to dominate retail transfers and trading, while USDC appears more often in regulated, institutional and card-linked products.

BRL stablecoins remain small by comparison, but the ecosystem is showing real growth, with more than ten tokens and over $150 million in combined supply.
That growth is splitting into two distinct markets. On the retail side, BRLA ($30 million) and BRZ ($50 million) account for most of the supply. Alongside them, institutional tokens are being built into corporate flows, including treasury, settlement and tokenized assets. BRLV is the largest of this group, with more than $70 million in supply.

The two groups have different paths to scale. Institutional tokens can grow through demand built into their networks, while the retail market still has no clear leader. A breakout retail token would likely need wider distribution, interoperability, credible backing and enough issuer neutrality to be used across competing platforms.

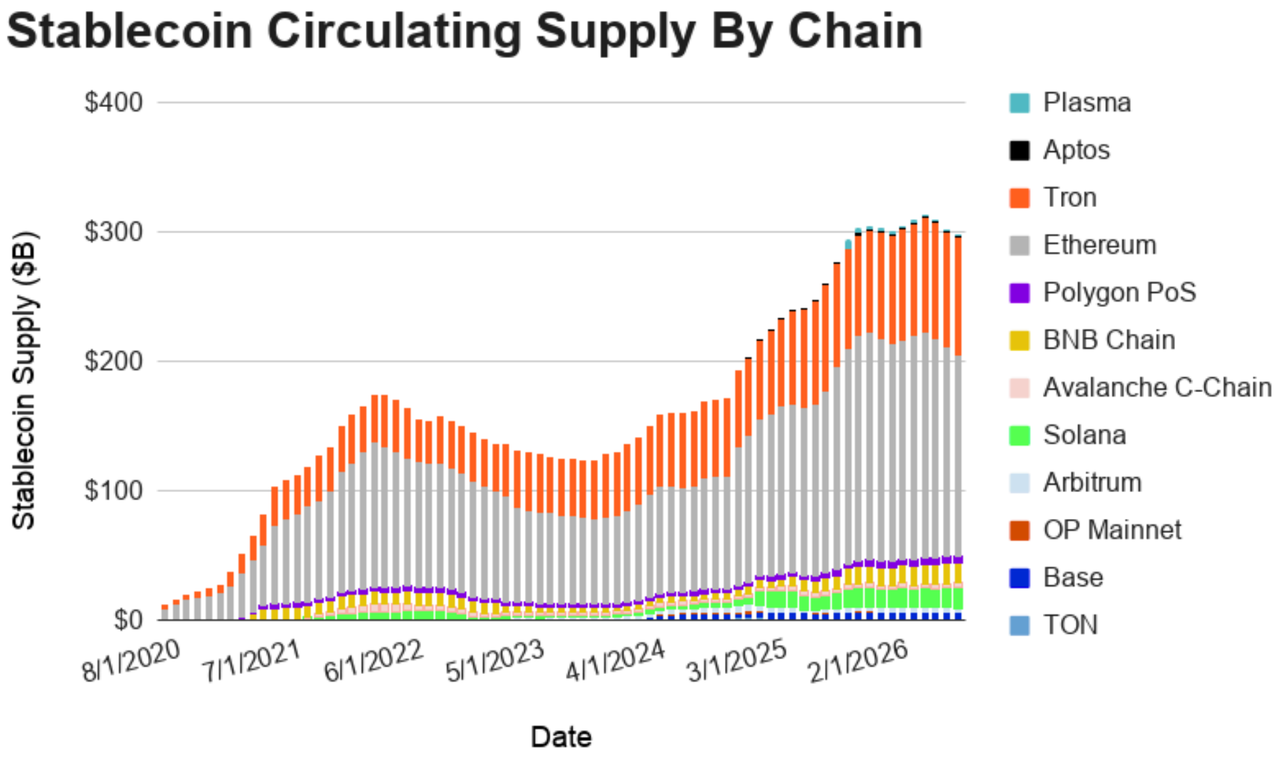
Together, these shifts show LATAM moving from stablecoin adoption toward regulated financial infrastructure, still built primarily around the dollar.

Chuk is the co-host of the Money Code podcast and editor of This Week in Fintech's stablecoin newsletter. He runs Stablecoin Blueprint, an independent research and education initiative, advises fintechs on stablecoin product strategy, and is a 2026 Global Blockchain Business Council (GBBC) Ambassador representing Digital Payments and Financial Infrastructure. Previously, he was a product lead at Paxos, working on stablecoin, payments, and capital markets initiatives.

STABLECOIN DATA

Circulating Supply by Chain

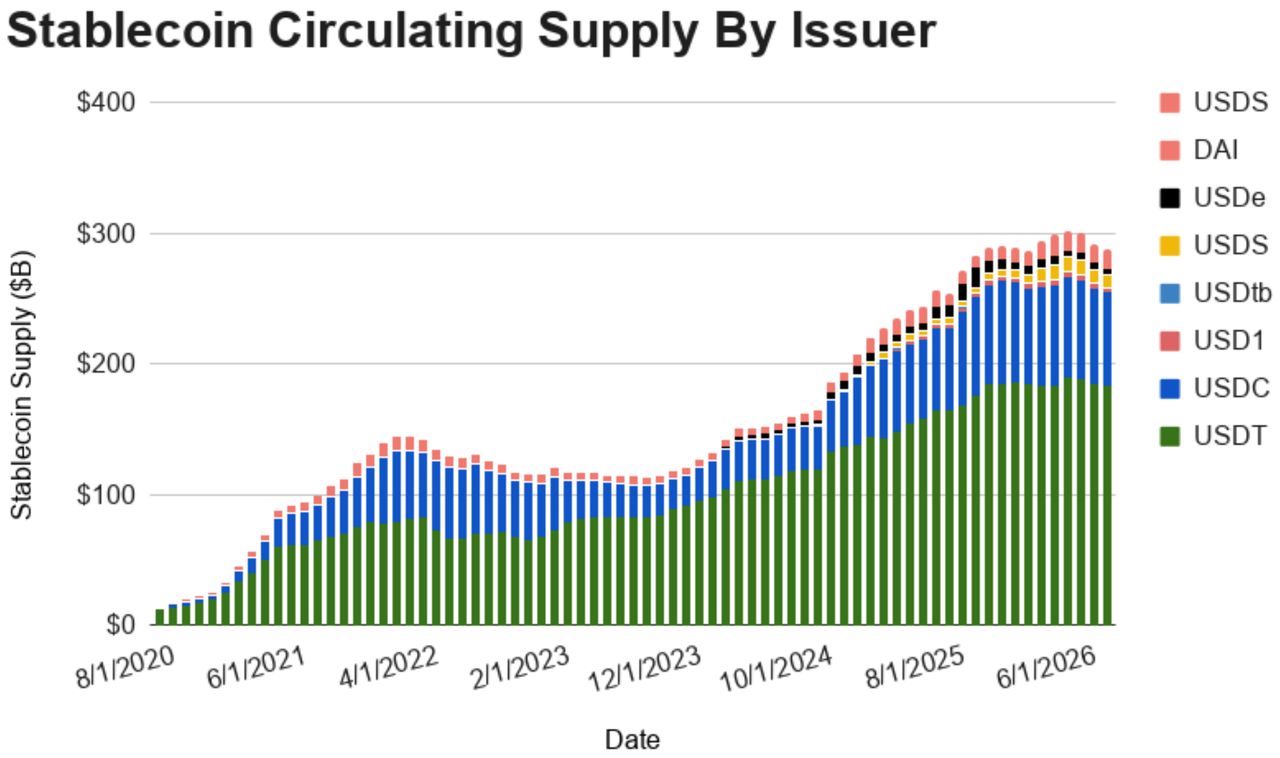
- Stablecoin circulating supply has reached a major milestone, hovering around **$300bn** after peaking slightly above $300bn in early 2026. While the rapid expansion seen throughout 2024 and mid-2025 has leveled off, the market has seen a slight contraction into mid-2026.
- Ethereum and Tron continue to dominate the landscape. **Ethereum** maintains a large share of supply , though its share has recently contracted. Meanwhile, **Tron** has maintained steady dominance and contributed significantly to the sustained high supply levels.



STABLECOIN DATA

Circulating Supply by Issuer

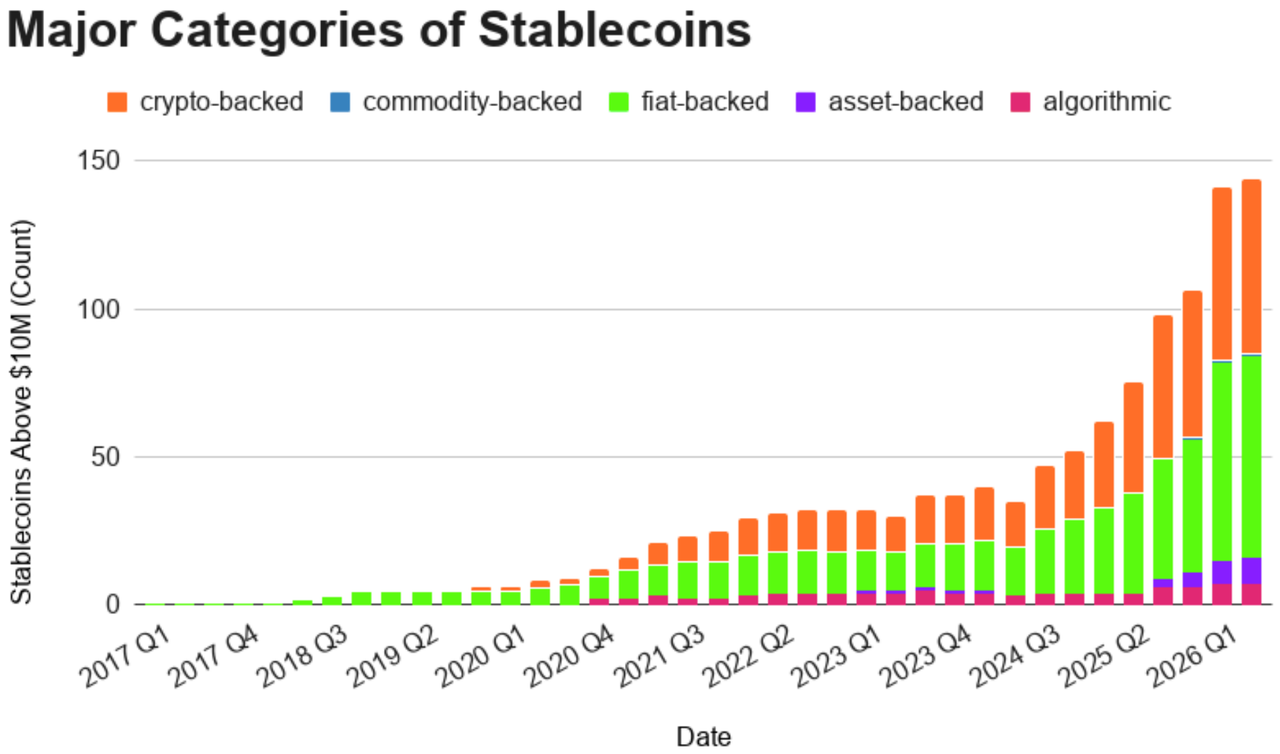
- **Market Cap Baseline:** Total circulating supply has consolidated near $310B, up from previous cycle peaks, establishing a new structural floor for the asset class.
- **Internal Capital Rotation:** Aggregated market cap appears steady, but underlying liquidity is shifting from non-yielding holding vehicles toward yield-bearing assets and federally or state-regulated alternatives.



STABLECOIN DATA

Major Categories of Stablecoins

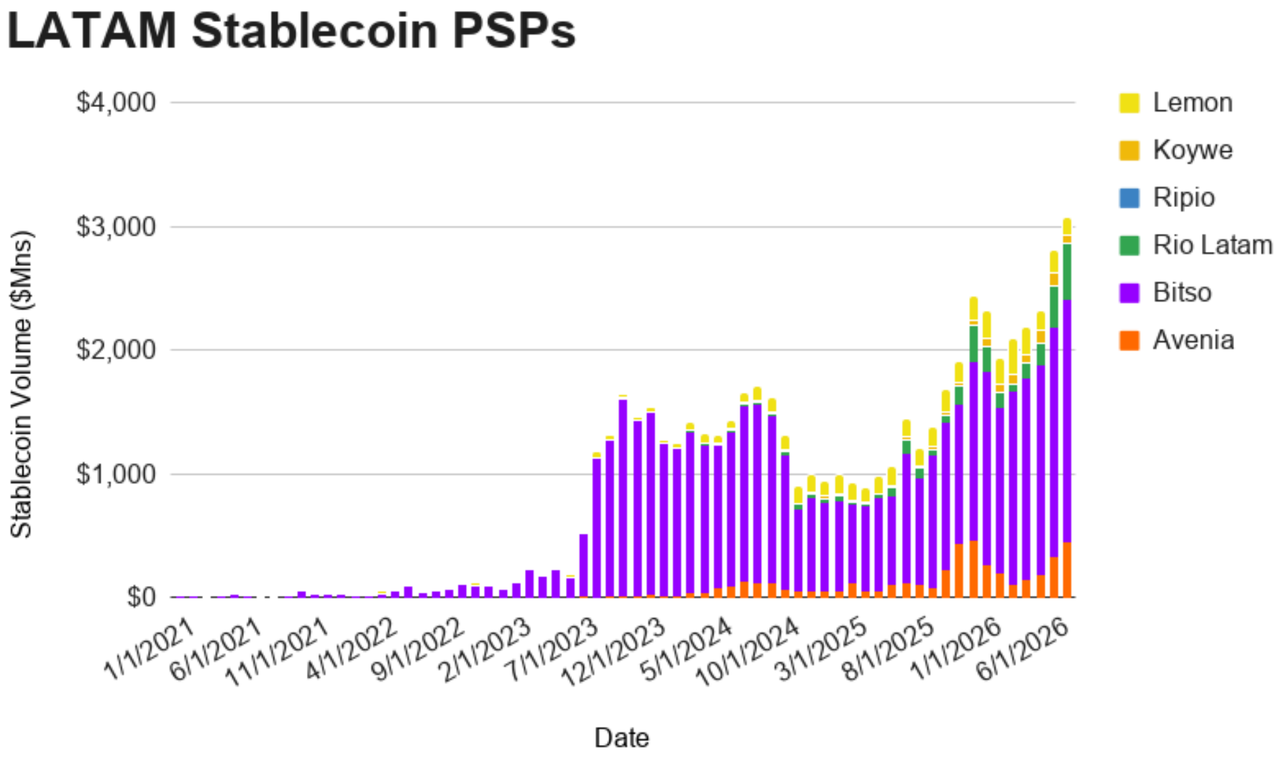
- **Surge in Long-Tail Issuance:** The count of distinct stablecoins maintaining a circulating supply above $10M reached approximately 140 by the end of Q1 2026, driven by lowering barriers to deployment and specialized payment/DeFi integrations.
- **Institutional & Fintech Entry:** Market diversification is accelerating as major institutional finance and fintech players enter the issuance space, highlighted by Fidelity's FIDD stablecoin, Klarna's KlarnaUSD, and payments infrastructure projects like Tempo.



STABLECOIN DATA

LATAM Stablecoin PSPs

- **Record Monthly Volume:** LATAM stablecoin PSP volume hit an all-time high above $3.0B per month by mid-2026, driven by soaring regional demand for USD-denominated cross-border payments and remittance rails.
- **Bitso Dominance with Emerging Challengers**: Bitso maintains the largest share of transaction volume across the region, while newer and rapidly scaling providers like Avenia and Rio Latam are capturing an increasing market footprint.

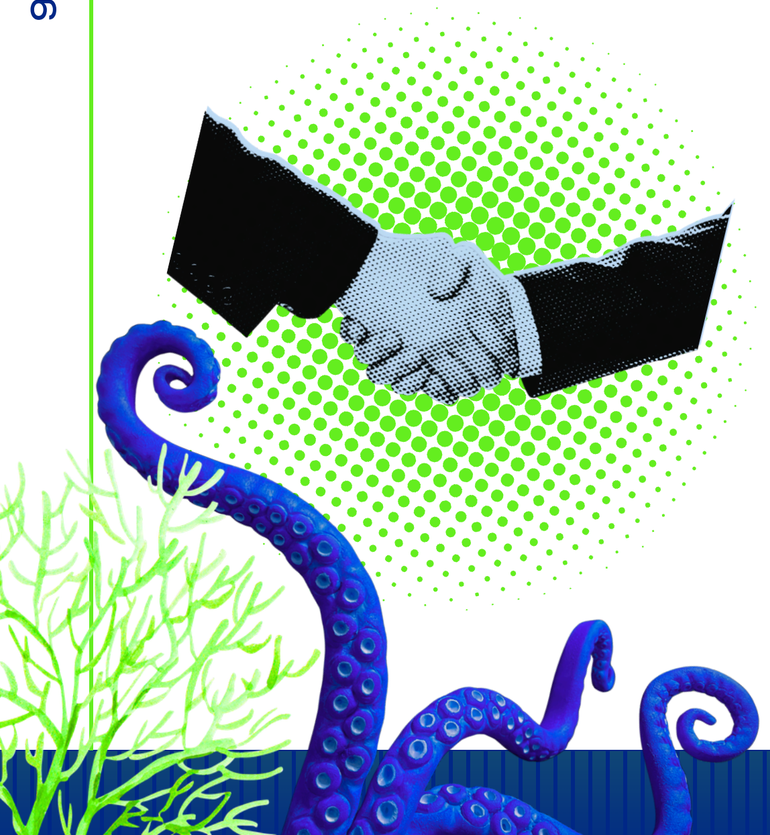


DEAL OF THE QUARTER

Behind the Buy: Kraken Acquires Reap

Payward (Kraken's parent) acquired Reap Technologies for ~$600M | Announced May 2026 (Q2)

By Nik Milanović



The deal

In May this year, global crypto exchange **Kraken's** parent company (Payward) announced an agreement to acquire Hong Kong-based **Reap** for up to $600 million in cash and stock, valuing Payward's equity at roughly $20 billion.

Reap builds stablecoin-native card issuance, cross-border B2B payment rails, and treasury tools, and already operates across corridors in Asia, Latin America (including Mexico), and Africa. Reap participates in the Paxos-led stablecoin Global Dollar Network. The business was also scaling quickly ahead of the acquisition: Reap says revenue and payment volumes tripled in 2025, while total card and payments volume grew another 33% year-on-year in H1 2026.

Kraken is interested in extending stablecoin-powered payments infrastructure into Latin America as a high-growth target market.

The deal was announced May 7th and closed this quarter on July 1st.

A few under-discussed details that stood out:

1. The Brazil timing collision.

Kraken's stated goal is to use Reap to build out stablecoin payment rails in Latin America. But Brazil's central bank issued Resolution BCB 561, effective October 1, 2026, which bars regulated FX providers from using stablecoins to settle the offshore leg of cross-border payments. That's exactly the type of B2B cross-border settlement Reap specializes in.

2. This isn't really "entering" Latin America — it's acquiring infrastructure that is already being built.

Reap received a Mexican money transmitter license in March and a Visa Principal Issuer license in May, giving it Principal Issuer status in both Hong Kong and Mexico. The company expects roughly 250,000 new card users in Mexico and is positioning the country as its cross-border payments hub for the Americas, supported by teams in Mexico, Brazil and Colombia. So the acquisition gives Payward more than market access: it buys licenses, local infrastructure, distribution and an operating footprint that Reap had already spent time building.

3. Pace and pattern of the acquisitions.

Reap is the fourth Payward acquisition in a short stretch (NinjaTrader ~$1.5B, Bitnomial up to $550M, Backed, now Reap up to $600M). Two of those crossed $500M+ within about a month of each other.

4. The IPO backdrop changes how to read the deal terms.

Kraken CEO Arjun Sethi said the company is "about 80% ready" for an IPO around the same time this was announced. A private company using stock as acquisition currency, priced off its own funding-round valuation ($20B), while simultaneously prepping to go public, means Reap's founders are accepting equity whose value depends heavily on how that IPO actually prices.

5. Competitive framing against Stripe. Stripe's Bridge acquisition ($1.1B) and Kraken's Reap acquisition are structurally the same move. Both are exchanges/platforms buying stablecoin settlement infrastructure to build proprietary cross-border rails. That rivalry (Stripe vs. Kraken for stablecoin infrastructure dominance) is a bigger strategic story than any single deal, and Reap's founder actually built Stripe's APAC operations before leaving to start Reap.

6. Reap was already moving beyond payments before Payward arrived. In June, Reap integrated USYC, Circle's tokenized money market fund, into Reap Direct, allowing businesses to earn yield on idle balances while retaining liquidity for payroll, vendor payments and settlement. That starts to turn Reap from a card and payments provider into something closer to a stablecoin-native treasury layer. For Payward, the strategic opportunity is therefore broader than payments: issuance, settlement, cross-border payouts and yield can increasingly sit inside the same infrastructure stack.

Nik Milanović is based out of New York and is the Founder of Stablecon and This Week in Fintech. Nik previously worked as Head of BD at Google Pay and frequently writes on payments in Forbes.

CEO PROFILE

The Neutral Party: Bam Azizi Co-founder & CEO, Mesh

Stablecoin issuance is becoming a regulated commodity. Azizi's bet is that the scarce layer is routing, and that the only company able to build it is one its customers never have to compete with.

Interviewed by Dennis Owusu-Sem

The gap between volume and payment

Stablecoins moved more than $35 trillion in 2025. Actual payments, by McKinsey and Artemis's joint estimate, accounted for roughly $390 billion of that, close to one percent. The shortfall is not demand, and after the GENIUS Act it is no longer legal ambiguity. It is location. The dollar exists, but it sits in the wrong asset, on the wrong chain, inside a venue the checkout cannot reach. Nearly every attempt to close the gap has assumed the binding constraint is merchant acceptance. Mesh was built on the opposite premise: acceptance stopped being the problem years ago, and the payment still fails on the buyer's side of the transaction.

Learning from the system

Azizi's previous company, NoPassword, sold to LogMeIn in 2019. It was an identity layer, a business where the cryptography is the easy part and the hard part is persuading hundreds of systems that do not trust each other to route through you. He started Mesh in 2020 as Front, a consumer app that pulled Robinhood, Coinbase and similar accounts into one view. It accumulated billions in connected assets. The realization underneath it was that movement of value, not account connectivity, was the product. After FTX collapsed, he productized the connectivity layer, moved to B2B and restructured the company around it. The consumer surface was a brand fight against his own future customers. The plumbing underneath it was unowned.

What the market read as an acceptance problem

The industry spent a decade recruiting merchants. The harder failure was always upstream. A crypto checkout in its default form asks the customer and the merchant to agree on a single chain and a single asset, and that agreement almost never exists. The buyer holds SOL on an exchange; the merchant settles in USDC. Closing that distance manually means withdrawing, bridging, swapping and pasting an address, and most people abandon the purchase somewhere in the middle. What makes the problem durable is that fixing it is not primarily an engineering task. It is a permissioning task. Pulling funds from hundreds of wallets and exchanges requires each of them to grant access, and many are direct competitors of one another. . That constraint quietly eliminates most of the field. It leaves the position open only to a firm like Mesh with no stake in which platform wins.

"Mesh exists to make assets fungible. Whatever people hold, wherever they hold it, they should be able to spend it. That makes every platform on the network more valuable, not less." - Bam Azizi

The incentives run the right direction, which is the part outsiders miss. In open banking, the institution holding the data resists the aggregator. Here, the venue wants the outflow. Balances that cannot be spent eventually leave for a platform where they can be.

What Mesh actually does

Mesh operates as an orchestration layer between the customer's funding source and the merchant's settlement account, and its core function is to decouple the two. Its SmartFunding® feature lets a buyer pay from whatever they hold, in a self-custody wallet or an exchange account, while the merchant receives the asset they configured, including USDC, PYUSD, RLUSD, USDT or local fiat. The routing engine can draw across multiple funding sources inside a connected account and selects a path on cost, speed and reliability. The merchant never takes custody of a volatile asset, so the exposure window closes at authorization rather than at settlement. Connection, conversion, on-chain movement and compliance checks sit behind one integration, across more than 300 supported wallets and exchanges.

Without that layer, a merchant integrates chain by chain and venue by venue, or accepts one asset and forfeits everyone holding anything else. Mesh reports a 70% increase in deposit success rates for platforms running on it. The same infrastructure runs underneath PayPal's Pay with Crypto and Shift4's merchant base.

Where the constraint has moved

Issuance is now the crowded end of the market and the regulated one. Federal agencies missed the GENIUS Act's one-year rulemaking deadline on July 18, with ten proposals outstanding and none final ahead of the January 2027 backstop. Meanwhile liquidity keeps splintering across chains, issuers and venues, and every enterprise integration duplicates the same compliance and monitoring work.

Distribution, not minting, is the scarce asset, and it is held by a handful of wallets, exchanges and payment providers who will not hand it to a rival. Mesh's Alliance Program, launched in June with a founding cohort of networks, wallets, exchanges,issuers and platforms, is an attempt to make that neutrality structural rather than reputational.

The proof point

In January, Mesh closed a $75 million Series C at a $1 billion valuation led by Dragonfly, with Paradigm, Coinbase Ventures, SBI Investment, Moderne Ventures and Liberty City Ventures participating.

Where this goes

Over the next three to five years, issuance consolidates around regulated issuers and bank consortia, and differentiation migrates to acceptance. Two forces push in Mesh's favor. The first is abstraction: chain and asset selection disappears from the user's view the way network routing vanished from card payments, and whoever operates that hidden layer accrues the value. The second is agentic commerce, where the payer is software. An AI agent cannot be coached through a bridge interface or trained to hold the right token on the right chain before checkout. It needs the routing decision made programmatically, or the transaction simply does not complete. Mesh shipped a wallet for agent-initiated stablecoin transactions this year, which reads less like a product line than a hedge on who the customer becomes.

The risk sits in the same place as the advantage. Neutrality that depends on a cap table is neutrality with a shelf life, and the larger the strategic positions become, the more it has to be demonstrated in governance rather than asserted in marketing.

Closing

The distance between $35 trillion moved and $390 billion spent will not be closed by a better dollar. It closes when someone is allowed to reach into every account already holding one. In an industry founded on removing trust from the system, Mesh's entire franchise rests on being the single party everyone else agrees to trust.

Dennis Owusu-Sem is Chief Operating Officer of Stablecon, where he leads global operations and strategic execution for the leading conference focused on stablecoins and digital dollar infrastructure. He oversees partnerships and institutional engagement across the fintech, payments, and digital asset ecosystem. Dennis previously worked at Goldman Sachs, BMO Global Asset Management and served on NatWest's Advisory Council.

POLICY CORNER

In the Balance: The Dollarization Dilemma for LATAM

by Justin Friedman

Latin America is no stranger to payments innovation. Brazil's Pix, the central bank's real-time transfer system, settles in seconds, costs nothing for consumers to use, and is embedded enough in daily life that street vendors post QR codes instead of taking cash. Last year, Colombia's central bank launched its own answer, Bre-B. Across the region, mobile wallets and instant payments have leapfrogged the card infrastructure that took decades to build. This is a region that embraces financial technology, and where governments favor infrastructure driven by principles of interoperability, efficiency, security, financial inclusion, and minimizing costs for users.

However, while the United States leans into stablecoins as the essential new rail to move money, **Latin American governments are taking diverging views on how digital assets are allowed to engage with their financial systems.**

According to estimates by the Inter-American Development Bank, Latin America and the Caribbean took in a record $173.7 billion USD in remittances in 2025, mostly from the U.S. Absent domestic restrictions, stablecoins effectively parachute digital dollars into markets that have long relied on a greenback-driven shadow economy — minus the complications and risks of holding and moving physical currency. For a remittance-dependent, inflation-prone region, that is not a marginal feature.

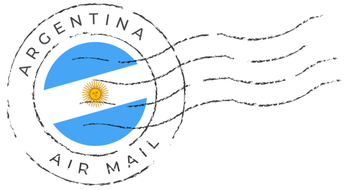
Thanks to the internet, an immigrant's dollars sent home via stablecoins now land in minutes instead of days, avoiding the fees to move and convert USD to the destination currency. A saver can park earnings in USDT rather than watch their local currency lose value overnight.

When dollars become easily spendable in recipient countries without converting to local money, governments lose dominion over their economy. Efficiency gains for users and the dollarization risk for nations are two sides of the same coin.

Brazil already solved digital payments at home with Pix, denominated in BRL real. Stablecoins have filled the gap at the water's edge by moving dollars for international payroll and trade, where correspondent banking is slow and expensive. Brazil's stablecoin journey is about rationalizing its treatment of cross-border flows. In force since February 2026, the central bank's Resolution BCB 521 integrates fiat-referenced virtual assets into the regulated market, treating stablecoins as foreign exchange rather than a novelty by subjecting them to the same rules that apply to ordinary FX transactions. Large-scale money movements are capped at $100,000 USD-equivalent per transaction for VASPs and $500,000 USD for banks and licensed FX brokers. Resolution BCB 561, effective October 2026, closes a loophole by barring eFX providers from settling the offshore leg of a transaction in stables — requiring a traditional FX wire or a non-resident BRL account instead.

Brazil's rules aim to minimize the use of crypto as a lane for money laundering, sanctions evasion, and tax avoidance, with reporting to the central bank required as of May 2026. The new regime means fewer players will achieve compliance, but trust in stablecoins should improve as **Brazil becomes the region's first to integrate crypto rails into its regulated perimeter.**

Meanwhile, Brazil's central bank is considering exporting Pix by integrating with systems in other countries. Brazilians traveling in Argentina can already pay locally from their BRL accounts, with settlement for the merchant in ARS.



Argentina's President campaigned in 2023 on a promise to dollarize — conceding that the inflation-plagued ARS peso is a source of instability. Since 2025, Argentina has made strides to stabilize foreign exchange by easing capital controls to close the gap between official and parallel rates, hoping to reduce pressure on Argentines to hoard dollars.

In July 2026, Argentina's economy minister acknowledged reality: Argentines still hold $40 billion USD on deposit at banks, plus an estimated $170 billion USD outside the formal financial system — something like a quarter of GDP debajo del colchón ("under the mattress").

Rather than fight that current, Argentina is choosing to formalize its economy by making room for dollar-denominated assets at domestic institutions. Four years after barring banks from touching crypto, the central bank recently finalized a framework permitting them to custody and trade stablecoins directly, with Banco Galicia, BBVA, and Santander positioned as first movers.

Mexico is advancing legislation to create a prudential regime for MXN peso-pegged stablecoins issued by domestically-supervised institutions. It is dollarization-avoidance by design: maintain monetary sovereignty by encouraging local issuance, meeting demand for digital currency at a moment when the so-called "super peso" has rallied against the dollar to its strongest exchange rate in years.

Colombia may be hedging as it considers legislation to permit institutions to deal in global stablecoins and crypto, rather than picking a currency winner. Meanwhile, Bancolombia already runs its own COP-denominated stablecoin, COPW, through an offshore subsidiary because Colombia's regulators do not yet allow it to operate from inside the bank itself.

With Mexico moving towards an MXN-denominated framework while Colombia's flagship bank builds offshore in anticipation of a domestic regime that is not yet settled, a divide becomes apparent. Stablecoin rails get harder to dislodge once embedded in payment systems, so the legal foundations underpinning them may ultimately matter less than what market forces demand. Some countries will fight stablecoins to slow dollarization, while others cultivate local issuance.

Who gets to touch the tokens? Colombia still bars its banks from crypto outright, which is why Bancolombia issues COPW through a Bermuda-licensed entity. Brazil now permits banks to offer custody and intermediation of crypto under their existing charter. Mexico could hand its banks and fintechs issuance rights for stablecoins. Argentina just erased the wall entirely.

The GENIUS Act gave the United States a nationwide answer to what a payment stablecoin looks like and who may issue them. As interconnected as Latin America's regional economy may be, it does not appear to be building toward that kind of convergence. As each country hews to its own tolerance for dollar substitution, expect to see diverging approaches to permitting value to flow into crypto, dollar-pegged stablecoins, and local stablecoins — within and beyond their borders.

Which will end up setting the template for LatAm: embrace of dollarization, integration of global stablecoins into FX, domestic issuance in local denominations, or perhaps a regionalization of payment rails in local currency?

Justin Friedman is Head of Policy at Stablecon, where he tracks public policy and regulatory developments impacting stablecoins, payments, and fintech. He is a former congressional aide, lobbyist, and regulator. He also advises and invests in early-stage companies building the next generation of financial infrastructure.